

DEAL INTELLIGENCE

Sunterra Sale Shows Multifamily Liquidity Is Returning, but Only at a Price

The \$77.5M trade reveals a market where sellers accept basis resets and buyers demand renovation upside.

July 16, 2026 | RE Business Online

A source-grounded Light Tower Insight.

The \$77.5 million sale of Sunterra in Oceanside is not a headline about volume returning to Southern California multifamily. It is a headline about what sellers must concede and what buyers are underwriting to make a trade happen in mid-2026.

The conventional reading is straightforward: a 240-unit apartment community built in 1975, sitting on 14.2 acres just north of Carlsbad, changed hands. CBRE represented the seller, 29th Street Capital, and also provided debt and finance support. The buyer is undisclosed. The price is \$77.5 million, or roughly \$323,000 per unit.

The less obvious story is what the price reveals about basis, renovation, and the narrowing window for liquidity.

Start with the asset. Sunterra is a two-bedroom-only property with detached garages, a resort-style pool, and a fitness center. About 70 percent of the units have been renovated. That means 30 percent have not. The buyer is acquiring a property where the easy interior upgrades have been done by the seller, but the remaining 72 units still carry original finishes from 1975. The buyer is paying for a partially completed value-add program and will need to finish the work to push rents to the next level.

Now consider the seller. 29th Street Capital is a Chicago-based private equity firm that has been active in Sun Belt and West Coast multifamily for years. The firm bought Sunterra at some point in the past, executed a renovation program on most units, and is now exiting. The timing matters. 29th Street is selling into a market where interest rates remain elevated, transaction volume is still below the 2021-2022 peak, and buyers have become highly selective about basis and cash flow. The firm is not selling because it lost faith in Oceanside. It is selling because the bid finally arrived at a level that allows it to realize the gains from its renovation program and redeploy capital elsewhere.

The buyer is the more interesting party. An undisclosed buyer paying \$77.5 million for a

1975-vintage property with 30 percent unrenovated units is making a specific bet: that the basis is low enough to absorb the remaining capital expenditure, that rents in North San Diego County will support the underwriting, and that debt financing is available at a cost that makes the math work. The buyer is not paying for a stabilized trophy. It is paying for a value-add opportunity with a partially completed business plan.

The debt component is worth watching. CBRE Debt and Structured Finance provided debt and finance support for the transaction. That suggests the buyer secured financing, but the terms are undisclosed. In the current market, debt for multifamily is available but expensive. Agency debt through Fannie Mae and Freddie Mac remains the cheapest option, but spreads have widened and underwriting has tightened. Private-label CMBS and bank debt are more expensive and more selective. The buyer likely paid a blended cost of capital that reflects the risk of the remaining renovation and the uncertainty around rent growth.

The per-unit price of \$323,000 is instructive. In 2021 and 2022, comparable properties in North San Diego County traded at \$350,000 to \$400,000 per unit. The Sunterra price is below that peak, but not dramatically so. The market has repriced, but not collapsed. The buyer is getting a discount relative to the peak, but the discount is modest. That suggests the seller did not need to capitulate, but did need to accept a basis that a buyer could defend to its capital partners and lenders.

Whose constraint changed? The seller's clock was not a forced maturity or a lender call. 29th Street Capital is a well-capitalized operator. The constraint was the opportunity cost of holding an asset that had already been partially renovated. The marginal dollar of renovation on the remaining 30 percent of units would generate a return, but the firm likely calculated that the return on selling and redeploying into a new deal was higher. The buyer's constraint was finding a basis that allowed for renovation upside without overpaying for the work the seller already completed.

The market signal is this: liquidity is returning to multifamily, but only at prices that reflect the current cost of capital and the remaining execution risk. Sellers who have completed most of

their business plan can exit. Sellers who need to sell before the business plan is finished will face a narrower buyer pool and more aggressive underwriting.

The next test for the market is whether this trade sets a comp for similar properties in North San Diego County. If other owners with partially renovated 1970s garden apartments can sell at \$320,000 to \$330,000 per unit, the bid has returned. If the next deal trades lower, this was a one-off execution by a strong sponsor with a good asset, not a market signal.

The deal is not proof that multifamily is booming again. It is proof that a seller with a completed renovation program and a buyer willing to underwrite remaining work can still find a clearing price. That is not a recovery. It is a functioning market.